**Solution**

(a) If profit is to be distributed on the basis of the previous year's profit:

Ritika's share of profit for 3 months $= 30,000 \times \frac{3}{12} \times \frac{1}{3} =$ ₹ 2,500

| Date | Particulars | | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|---|---|
| 2019 | Profit and loss Suspense A/c | Dr. | | 2,500 | |
| March 31 | To Rithika's capital A/c | | | | 2,500 |
| | (Rithika's current year share of profit credited to her capital account) | | | | |

(b) If profit is to be distributed on the basis of the average profit of the past 3 years:

Average profit $= \frac{5,000 + 10,000 + 30,000}{3}$

$= 15,000$

Ritika's share of profit for 3 months $= 15,000 \times \frac{3}{12} \times \frac{1}{3} =$ ₹ 1,250

| Date | Particulars | | L.F. | Debit ₹ | Credit ₹ |
|---|---|---|---|---|---|
| 2019 | Profit and loss Suspense A/c | Dr. | | 1,250 | |
| March 31 | To Rithika's capital A/c | | | | 1,250 |
| | (Rithika's current year share of profit credited to her capital account) | | | | |

## 6.8 Settlement of the amount due to the retiring partner

The amount due to the retiring partner from the partnership firm is the balance of his capital account after making adjustments for goodwill, accumulated profits and losses, profit or loss on revaluation, remuneration due, etc. The settlement is to be done in the manner prescribed in the partnership deed. The amount due to the retiring partner may be settled in one of the following ways:

(i) Paying the entire amount due immediately in cash

(ii) Transfer the entire amount due, to the loan account of the partner

(iii) Paying part of the amount immediately in cash and transferring the balance to the loan account of the partner

The journal entries to be made are as follows:



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